Practice workbook · Expense and income accounts with accruals and prepayments

Preparing an expense or income account that opens and closes with amounts owing or in advance (and unused consumables), and finding the year's charge or income.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-14

1. Question 18 · part a · 5 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

18 On 1 May 2023 Alex owed wages of $1 580, and had paid wages in advance of $920

During the year ended 30 April 2024 Alex paid wages of $87 900

On 30 April 2024 Alex owed wages of $4 230

(a) Prepare the wages account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(5)

Wages Account

Date	Details	$	Date	Details	$

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1. Question 18 · part a · 5 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

On 1 May 2023 Alex had received rent in advance of $800 from his tenant.

During the year ended 30 April 2024 Alex received rent of $7 800

On 30 April 2024 Alex had received rent in advance of $1 300

(b) Prepare the rent receivable account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Rent Receivable Account

Date	Details	$	Date	Details	$

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1. Question 18 · part a · 5 marks · Working and answer

Working and answer

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2. Question 18 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

18 (a) Define the terms:

(i) other payables

(2)

(ii) other receivables.

(2)

Waseem is preparing his financial statements for the year ended 31 May 2018.

On 5 June 2018 he received an invoice, $960, for advertising covering the period 1 March 2018 to 31 October 2018.

(b) Calculate the amount to be added to the advertising account for the year ended 31 May 2018.

(2)

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2. Question 18 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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(c) Complete the table by indicating with a tick (✓) which transactions are revenue expenditure and which are capital expenditure.

(4)

Transaction	Revenue expenditure	Capital expenditure
Factory roof repairs		
Factory extension		
Machinery installation		
Machinery maintenance		

(d) Evaluate why it is important for a business to distinguish between revenue expenditure and capital expenditure.

(5)

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(Total for Question 18 = 15 marks)

2. Question 18 · part b · 2 marks · Working and answer

Working and answer

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3. Question 12 · part whole · 5 marks

2021 JUN · Paper 01

Further practice · Attempt part whole only.

12 Yasir provided the following information relating to the rent account for the year ended 31 March 2021.

At 1 April 2020 Yasir owed two months' rent totalling $500

During the year ended 31 March 2021 he paid total rent of $3750 by bank transfer.

Prepare the rent account for the year ended 31 March 2021. Balance the account on this date and bring the balance down on 1 April 2021.

Rent Account

Date	Details	$	Date	Details	$

(Total for Question 12 = 5 marks)

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3. Question 12 · part whole · 5 marks · Working and answer

Working and answer

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4. Question 17 · part a · 5 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

17 During the year ended 30 September 2020 the following cheque payments were made for rent at $300 per month.

Date paid	Period covered
1 November 2019	1 September 2019 to 31 December 2019
1 January 2020	1 January 2020 to 30 June 2020
1 July 2020	1 July 2020 to 31 December 2020

(a) Prepare the rent payable account for the year ended 30 September 2020. Balance the account on that date and bring the balance down on 1 October 2020.

(5)

Rent Payable Account

Date	Details	$	Date	Details	$

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4. Question 17 · part a · 5 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

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(b) State, giving a reason, where the balance of the rent payable account in part (a) would appear in the statements of financial position at:

(i) 30 September 2019

(2)

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(ii) 30 September 2020

(2)

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(c) State **three** accounting concepts together with a brief description of each.

(6)

Accounting concept	Description

(Total for Question 17 = 15 marks)

4. Question 17 · part a · 5 marks · Working and answer

Working and answer

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5. Question 17 · part b.i · 5 marks

2023 JUN · Paper 01

Further practice · Attempt part b.i only.

17 Jack provided the following information for the year ended 30 April 2023.

1 May 2022	Stationery account balance $250
10 May 2022	Purchased stationery, $80, paying by cheque.
17 May 2022	Returned stationery, $15, refund received by cheque.
29 August 2022	Jack took stationery, $25, for his personal use.
30 April 2023	Closing stationery was valued at $190

(a) (i) Prepare the stationery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(7)

Stationery Account

Date	Details	$	Date	Details	$

(ii) State the accounting concept that applies when taking stationery for personal use.

(1)

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5. Question 17 · part b.i · 5 marks

2023 JUN · Paper 01

Further practice · Attempt part b.i only.

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On 1 May 2022 insurance paid in advance was $360

On 1 July 2022, insurance, $1980, was paid by cheque. This covered the twelve month period ending 30 June 2023.

(b) (i) Prepare the insurance account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(5)

Insurance Account

Date	Details	$	Date	Details	$

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(ii) Explain, referring to an accounting concept, why it was necessary to adjust for the amount paid in advance on 30 April 2023.

(2)

Accounting concept

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Explanation

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(Total for Question 17 = 15 marks)

5. Question 17 · part b.i · 5 marks · Working and answer

Working and answer

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6. Question 17 · part a.i · 7 marks

2023 JUN · Paper 01

Further practice · Attempt part a.i only.

17 Jack provided the following information for the year ended 30 April 2023.

1 May 2022	Stationery account balance $250
10 May 2022	Purchased stationery, $80, paying by cheque.
17 May 2022	Returned stationery, $15, refund received by cheque.
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30 April 2023	Closing stationery was valued at $190

(a) (i) Prepare the stationery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(7)

Stationery Account

Date	Details	$	Date	Details	$

(ii) State the accounting concept that applies when taking stationery for personal use.

(1)

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6. Question 17 · part a.i · 7 marks · Working and answer

Working and answer

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7. Question 16 · part a · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part a only.

16 Bharti provided the following information in respect of her stationery account.

- On 1 July 2024 inventory of stationery was $420
- During the year ended 30 June 2025:
  - She paid $1 070 for stationery
  - She withdrew stationery for her own use costing $65
- On 30 June 2025:
  - She owed $130 for stationery
  - Inventory of stationery was $325

(a) Prepare the stationery account for the year ended 30 June 2025.

Balance the account on this date and bring the balance down on 1 July 2025.

(7)

Stationery Account

Date	Details	$	Date	Details	$

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7. Question 16 · part a · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part a only.

Bharti provided the following information in respect of her rent receivable account.

- On 1 July 2024 she had received rent in advance, $600
- During the year ended 30 June 2025 she received rent of $5 200
- On 30 June 2025 she was owed rent of $280

(b) Prepare the rent receivable account for the year ended 30 June 2025.

Balance the account on this date and bring the balance down on 1 July 2025.

(5)

Rent Receivable Account

Date	Details	$	Date	Details	$

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7. Question 16 · part a · 7 marks · Working and answer

Working and answer

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8. Question 18 · part c.i · 7 marks

2019 JUN · Paper 01

Further practice · Attempt part c.i only.

18 (a) State **two** advantages of operating a business as a sole trader.

(2)

1 .....

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2 .....

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(b) State **two** stakeholders who may be interested in a business's financial statements.

(2)

1 .....

2 .....

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8. Question 18 · part c.i · 7 marks

2019 JUN · Paper 01

Further practice · Attempt part c.i only.

During the year ended 31 March 2019 the following rental income was received.

Date	$	Period
1 April 2018	800	Four months ending 30 June 2018
1 July 2018	1 500	Six months ending 31 December 2018
1 January 2019	1 500	Six months ending 30 June 2019

(c) (i) Prepare the rental income account for the year ended 31 March 2019.
Balance the account on that date and bring the balance down on 1 April 2019.

(7)

Rental Income Account

Date	Details	$	Date	Details	$

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8. Question 18 · part c.i · 7 marks

2019 JUN · Paper 01

Further practice · Attempt part c.i only.

(ii) Complete the table by indicating with a tick (✓) what the balance of the rental income account represents on the given dates.

(4)

	Balance at 1 April	
	2018	2019
Other payables		
Other receivables		
Current assets		
Current liabilities		

(Total for Question 18 = 15 marks)

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8. Question 18 · part c.i · 7 marks · Working and answer

Working and answer

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9. Question 9 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.

9 At the start of the year a business's rent received account had a debit balance of $200. During the year $250 per month was received from a tenant. At the end of the year the account had a credit balance of $100.

Identify the amount to be shown on the income statement for rent received for the year.

- ☒ **A** $3100
- ☒ **B** $3000
- ☒ **C** $2800
- ☒ **D** $2700

(Total for Question 9 = 1 mark)

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Working and answer

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10. Question 18 · part b · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

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During the year ended 30 April 2024 Alex paid wages of $87 900

On 30 April 2024 Alex owed wages of $4 230

(a) Prepare the wages account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(5)

Wages Account

Date	Details	$	Date	Details	$

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10. Question 18 · part b · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

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On 1 May 2023 Alex had received rent in advance of $800 from his tenant.

During the year ended 30 April 2024 Alex received rent of $7 800

On 30 April 2024 Alex had received rent in advance of $1 300

(b) Prepare the rent receivable account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Rent Receivable Account

Date	Details	$	Date	Details	$

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10. Question 18 · part b · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

On 1 May 2023 the balance on the motor vehicles cost account was $172 000 and the balance on the motor vehicles provision for depreciation account was $85 000

On 30 September 2023 Alex sold a motor vehicle for $16 000 and received a bank transfer in full settlement.

This motor vehicle had been purchased on 31 March 2022 for $36 000 and had a residual value of $8 000

Alex depreciates motor vehicles at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Prepare the motor vehicles – provision for depreciation account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Motor Vehicles – Provision for Depreciation Account

Date	Details	$	Date	Details	$

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10. Question 18 · part b · 4 marks · Working and answer

Working and answer

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11. Question 16 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

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(a) Prepare the stationery account for the year ended 30 June 2025.

Balance the account on this date and bring the balance down on 1 July 2025.

(7)

Stationery Account

Date	Details	$	Date	Details	$

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11. Question 16 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

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Bharti provided the following information in respect of her rent receivable account.

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(b) Prepare the rent receivable account for the year ended 30 June 2025.

Balance the account on this date and bring the balance down on 1 July 2025.

(5)

Rent Receivable Account

Date	Details	$	Date	Details	$

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11. Question 16 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

(c) State **three** ways that data may be protected when using a computerised accounting system.

(3)

1 .....

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2 .....

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3 .....

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(Total for Question 16 = 15 marks)

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Working and answer